U.S. Dollar Stores

Feedback Following DG Upgrade

Post-DG upgrade, we highlight initial feedback from investors, with some of our own perspective and data points. Sentiment seems more negative on DG, more positive on DLTR. Concerns center on cyclical and structural sales issues, and there is debate about whether DG is under or over earning.

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Overall, sentiment remains mixed on this group, with plenty of debate on DG in particular. *Inside we divide the debates into five main buckets for now: 1) timing, event path, 1H EPS risk; 2) how and why do sales improve again? 3) is there a pricing issue? 4) are margins under or over-earning; 5) store growth, and should the company be opening more doors?*

Bulls see low hanging fruit against a perfect storm in 2023, a margin recapture opportunity from mostly transitory issues, and an eventual return back to steady growth.

Bears don't see the path to better sales, with structural concerns (competition and pricing), and cyclical concerns (deflation and the low-income consumer), and see valuation limited vs. the high teens P/E or higher seen in the past. Many bears seem to agree there are some fixable execution issues, but don't think the company is necessarily under-earning given price increases the last few years.

The consensus across both sides seems to be that it's still early for this story, which we agree with; the event path is messy, as we detailed in our outlook, as some pressures wrap into early 2024 (driving our below-consensus estimate), but that should create the opportunity.

Sentiment on DLTR seems more positive based on momentum in the Dollar Tree banner along with incremental margin drivers, and what seems a greater willingness to discount Family Dollar again.

Please see analyst certifications and important disclosures beginning on page 8.

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Background

We upgraded DG in our sector outlook on 4-Jan-24 (2024 Outlook: Finally Here), based on the margin recapture opportunity over the next 12-18 months largely through addressing prior execution issues. For us, this continues to screen well as a self-help story within a sector that as cyclical retailer stocks are up significantly in the last month, while most of staples retailers are entering an air pocket (detailed in our Walmart note on 12-Jan-24 (Navigating an Air Pocket). While we discussed short-term pressures still carrying into early 1H (we lowered our 1H estimates well below consensus), we felt that efforts to clean up inventory and supply chain issues should support the first phase of this margin improvement story, starting in Q2/3. We bridge EPS from our $7.04 in FY24 back to $8.50-9.00 into next year, which we think is supportive of stock upside, before having to underwrite a return back to prior, higher growth rates. Helping the set up, we believe DG is lapping a perfect storm last year that had a slowing low-income consumer (inflation pressure, snap reversal), big Walmart share gains, and numerous self-inflected issues noted above.

Debate #1: The event path, it’s still early + stock has moved

- The consensus for DG seemed to be that it's still early for this turnaround, there are some pressures ahead, and expectations may need to come down first. We believe the story is still in transition but see margin trends toughing in Q1/Q2 setting this up well for 2H.

- That includes risk of 1H estimates/ guidance, which we agree with; margin pressures may wrap into the early part of the year including shrink and labor which haven’t cycled yet. We are modeling Q1 EPS of $1.58 vs. BBG consensus $1.93, and FY24 EPS of $7.04 vs. consensus $7.47).

Debate #2: How will sales get better?

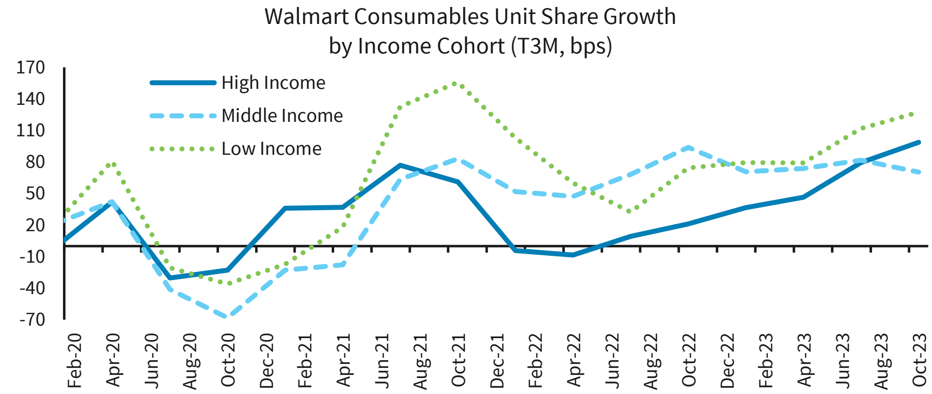
Are issues cyclical vs. structural vs. self-inflicted?

- Cyclical debates center on deflation risks, the state of the low-income consumer, and whether a recovery in non-consumables will be needed to turn the margins here.

- Structural concerns center on WMT’s significant share gains, other competition (DLTR), and pricing issues (DG’s price gaps, and whether its assortment price points have gone up too much). We discuss these points in more detail throughout.

- Our view: We think these are all fair arguments, and agree with many. But we also believe this will be more manageable in FY24 than in FY23, and there is as much self-inflicted issues that are being addressed.

FIGURE 1. Walmart clearly still a force to monitor, as it gains robust share of low-income cohort.

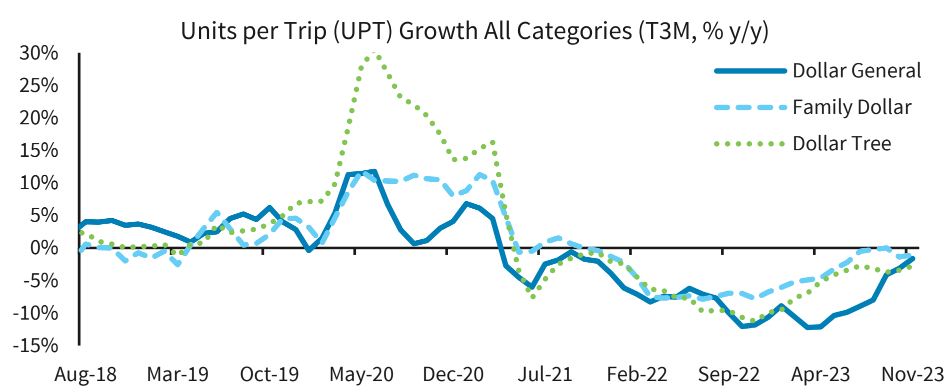


Source: Numerator, Barclays Research

Is the issue traffic, or conversion?

- The bear case centers more on structural traffic issues which we discus more below, which will be more difficult and expensive to fix.
- The bull case is that it's been more conversion, owing to in-stock and labor issues that are being addressed.
- <u>Our view</u>: We think it's been some combination, with UPT trends lagging peers through much of 2022/23, illustrating the conversion issue. *Importantly, we have started to see an improvement since mid-Q3, which was consistent with company commentary on the Q3 call.*

FIGURE 2. DG sales weakness in 2023 seemed to be largely driven by volume; we believe declines and underperformance of UPT was a key factor, although trends have improved through Q3/Q4.



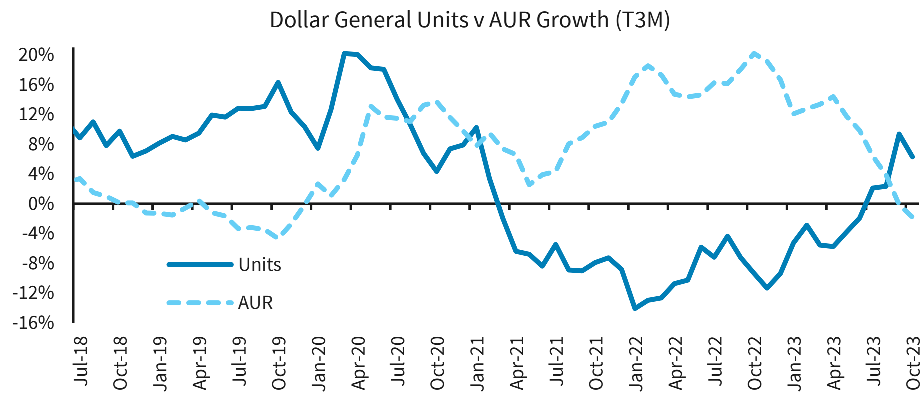
Source: Numerator, Barclays Research

Recent sales improvement promotionally-driven/ will have to lap that?

- DG discussed sales improving intra-Q3, which we believe has continued. There's a lot of concern that the improvement is promotionally-driven as it coincided with more aggressive markdown activity. Could that imply more price actions ahead? (Concerns about AUR's moving up in recent years, which we discus more in the next section.)

- Our view: We do believe discounting has been a factor (see slowing AUR growth vs improving volume, per Numerator, through Nov.), and this will clearly tie in with the debate around pricing. But there have also been other changes including more store labor, less inventory purchases, and initial improvements in stock levels.

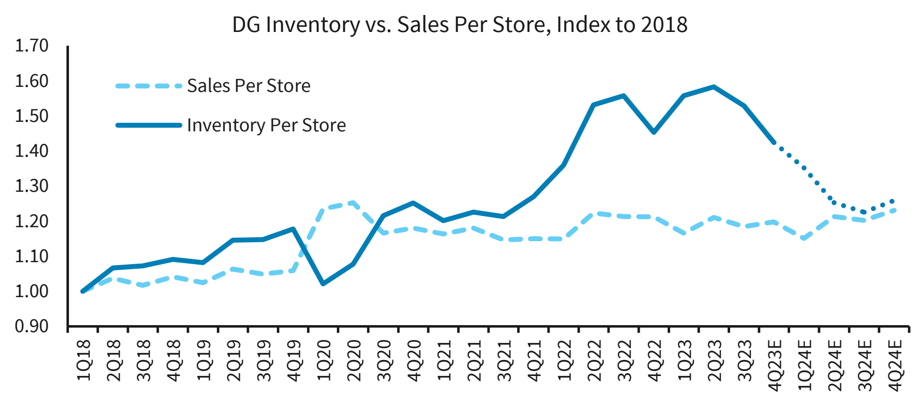
FIGURE 3. **Recent improvement in DG volume coincides with moderating (and now declining) AUR growth.**



Source: Numerator, Barclays Research

- Part of the transition in the story is the fact that DG still has a lot of inventory. We expect that to be addressed in Q4 and into 1H24, which means there could be more markdowns ahead, and that we may not get a clear picture of sales until later in 2024. That said, we believe addressing the inventory issue could be the biggest incremental sales and margin driver in 2024, in our view.

FIGURE 4. **DG inventory still elevated; we believe that has been a key issue for sales (impacting supply chain, in-stocks, etc.) and margins. We still expect more actions to clear over coming quarters.**



Source: Company data, Barclays Research

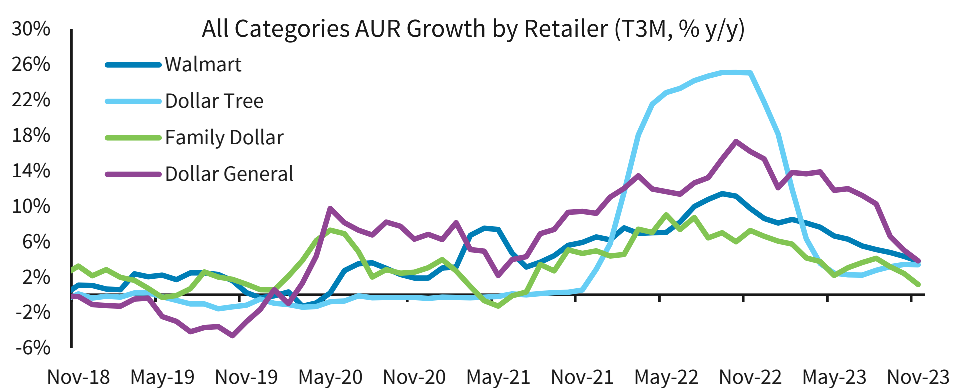
Debate #3: Does DG still have a pricing issue?

- DG's pricing strategy remains a key debate for investors. Bears are concerned about competitive price gaps (view that pricing has moved up more than others), as well as its assortment and whether it's moved its price points up too much in recent years.

- Bulls generally see the company addressing this and believe there is still some convenience premium.

- Our view: We believe DG is taking some steps to address recent issues. One of our concerns last year was that DG's AUR was still growing faster than peers through much of 2023 until Oct/Nov; we used AUR as a proxy for relative price change (although there are other factors that could be driving that, such as DG's growth in fresh). DG's AUR growth has moderated meaningfully and is trending closer to the peer group as of late.

FIGURE 5. DG AUR growth has moderated, and is tracking more in line with peers.



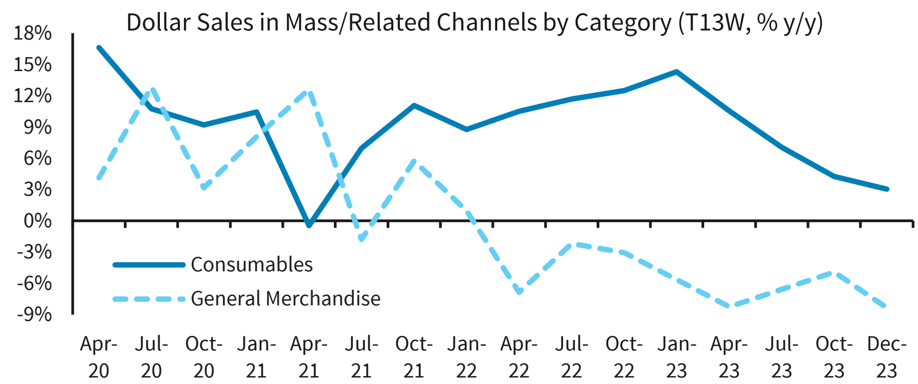
Source: Numerator, Barclays Research

Deflation risks + what if Walmart lowers prices?

- Deflation remains a concern broadly for this group as we detailed last week for Walmart (Navigating an Air Pocket) where we showed the air pocket developing where consumable growth is slowing (disinflation + weak volume) and gen merch continues to underperform.

- Our view: Given that price drove sales growth last year, particularly for DG, this is clearly a risk to sales growth in FY24, although there could be some offset from UPT if prices were to come down. This could also be favorable for gross margin, but all dependent on what Walmart does (more below).

FIGURE 6. **Slowing consumables sales growth while general merchandise has remained weak.**



Source: NielsenIQ, Barclays Research

Will Walmart get more aggressive?

- While Walmart has discussed deflation more than others, it has also discussed being pleased with price gaps. The chart shown earlier is consistent with that, showing how Walmart's AUR growth is more in line with the broader industry (i.e. there doesn't seem to be a step change in its aggression).

- Our view: Our view has every reason to want lower prices (opportunity to reverse grocery UPT pressure + stimulate gen merch which they have been very focused on), and has the power to do so. But at this point, we are not seeing any major change in their relative pricing trends.

Debate #4: Margin recovery or not

- Bears seem focused on risk to margin recovery based on:
  - Short-term, costs wrapping into 1H24 (driving EPS <$7 for the year vs consensus $7.47);
  - Lapping price increases; GM in 2023 should end up similar to 2019, despite significant margin pressures this past year (that's partly due to higher prices that bears see at risk as noted earlier), leading investors to believe the company is not under-earning;
  - Limited opportunity on SG&A; investors think there are more store level investments needed, particularly if sales don't get better.

- Bulls see >$1 recovery opportunity just from recent sales/inventory related issues, an opportunity to generate $8.50-9.00 in 2025, with optionality from reducing shrink, closing excess warehouse space, and addressing other inefficiency (not factored into that math).

- Our view: We are more optimistic about the company's ability to stabilize margins as it gets inventory under control.

Debate #5: Normalized growth?

The main debate here is whether growth needs to slow further (and is that a good or bad thing?). We don't think that call needs to be made at this point, but will matter as we move through the year. Based on conversations with the company and our own work to better understand different cohort performance, we don't sense any major issues across the current store fleet. We do expect more debate about saturation in this market over time. We see a scenario where store growth drops from ~3.5% to ~2% exiting this transition period.

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Materially Mentioned Stocks (Ticker, Date, Price)
Dollar General Corporation (DG, 12-Jan-2024, USD 134.64), Overweight/Neutral, CD/CE/J

Dollar Tree Inc (DLTR, 12-Jan-2024, USD 135.76), Equal Weight/Neutral, CD/CE/J

Walmart Inc. (WMT, 12-Jan-2024, USD 161.32), Overweight/Neutral, A/CD/CE/D/E/J/K/L/M/N

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Costco Wholesale Corp. (COST)	Dollar General Corporation (DG)	Dollar Tree Inc (DLTR)
Driven Brands Holdings Inc. (DRVN)	Five Below, Inc. (FIVE)	Floor & Decor (FND)

Home Depot Inc. (HD)	Lowe's Companies, Inc. (LOW)	O'Reilly Automotive Inc. (ORLY)
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Dollar General Corporation (DG / DG)

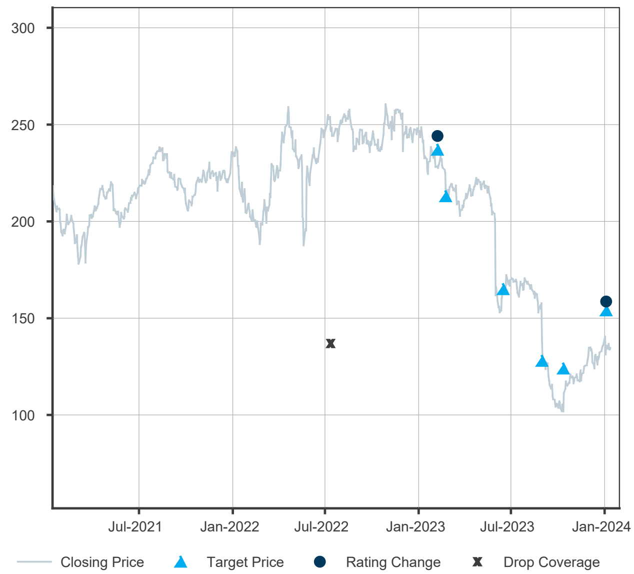
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 134.64** (12-Jan-2024)

Rating and Price Target Chart - USD (as of 12-Jan-2024)

Currency=USD



Source: IDC, Barclays Research

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Publication Date	Closing Price*	Rating	Adjusted Price Target
04-Jan-2024	140.43	Overweight	154.00
12-Oct-2023	101.83		124.00
31-Aug-2023	138.50		128.00
16-Jun-2023	163.68		165.00
23-Feb-2023	225.27		213.00
07-Feb-2023	228.39	Equal Weight	237.00
06-Jul-2022	250.05	Coverage Dropped	

On 15-Jan-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 245.00.

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Valuation Methodology: Our price target of $154 is based on 18x our 2025E EPS estimate of $8.54 (vs. prior 16x 2024 EPS), as the company takes steps to address 2023 issues.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: On the downside: 1) Margin progress is back-end weighted 2) Competitive dynamics threaten peak comps and could impact pricing 3) Operating costs could remain elevated.

Dollar Tree Inc (DLTR / DLTR)

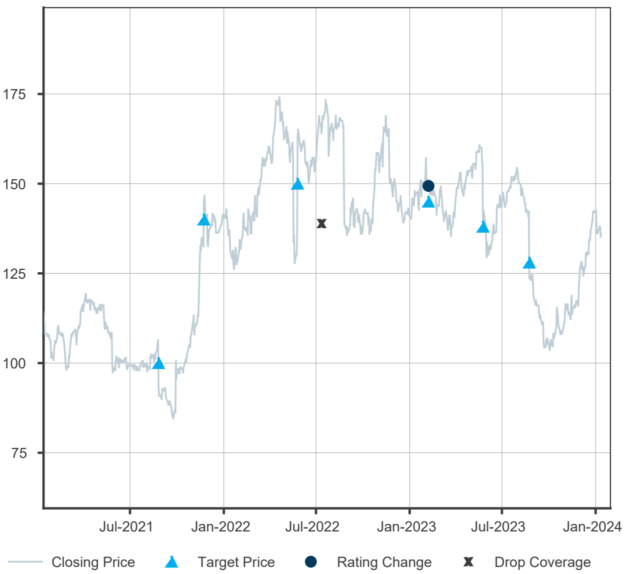
Stock Rating: **EQUAL WEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 135.76** (12-Jan-2024)

Rating and Price Target Chart - USD (as of 12-Jan-2024)

Currency=USD



Source: IDC, Barclays Research

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Publication Date	Closing Price*	Rating	Adjusted Price Target
24-Aug-2023	142.22		128.00
25-May-2023	155.35		138.00
07-Feb-2023	150.37	Equal Weight	145.00
06-Jul-2022	164.84	Coverage Dropped	
26-May-2022	162.80		150.00
23-Nov-2021	144.71		140.00
26-Aug-2021	93.48		100.00

On 15-Jan-2021, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 115.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our $128 price target is based on 18x our 2024 EPS estimate of $6.98, which is a slight premium to DLTR's five-year history to reflect its relative defensiveness in the current environment and improvement opportunities later in 2023 and into 2024.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: On the upside, higher gross margins along with an inflection in traffic for both DLTR (now lapping the price increase) and FDO (on the back of price increase and other store changes) could likely support the stock even with the reset to 2023 guidance. On the downside, there is some cyclical risk, mainly in the discretionary categories, that we have linked to low-income employment, which is at the risk of slowing, as well as execution risk associated with Family Dollar initiatives. Related, there is the risk that more investments will be needed in Family Dollar.

Walmart Inc. (WMT / WMT)

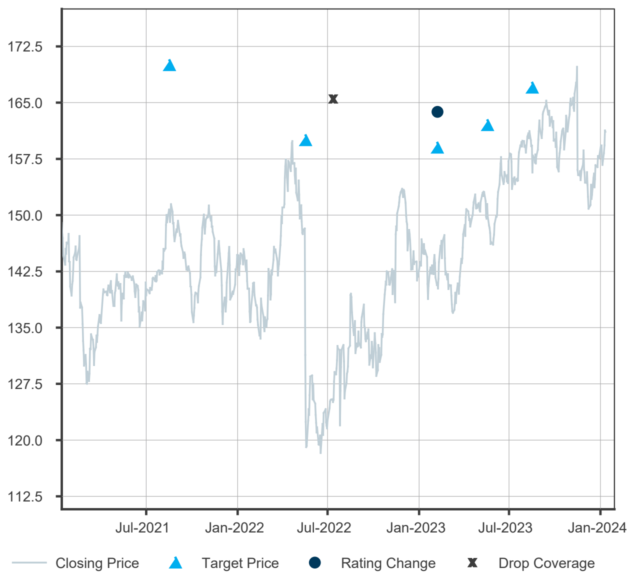
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 161.32** (12-Jan-2024)

Rating and Price Target Chart - USD (as of 12-Jan-2024)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
17-Aug-2023	155.69		167.00
19-May-2023	151.47		162.00
07-Feb-2023	140.98	Overweight	159.00
06-Jul-2022	124.25	Coverage Dropped	
18-May-2022	122.43		160.00
17-Aug-2021	150.70		170.00

On 15-Jan-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 165.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

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Valuation Methodology: Our $167 price target is based on 23x our 2024E (FY25E) EPS of $7.26 and is consistent with the upper end of WMT's trading range over the last 10 years when the stock was trading during other periods of strong share gains and relative top-line outperformance.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) Slowing discretionary demand could have a greater impact on its more promotional categories, such as apparel, home, and electronics, and result in markdowns like we saw last year. 2) Related to that is mix, which could shift more to staples and have a greater impact on gross margin in 2023. 3) A faster slowdown in food inflation would likely weigh on sentiment initially, although we see the potential for elasticity to return across a number of categories as pricing pressures ease.

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